



Montgomery County Green Bank Corporation

**Financial Statements and Supplemental Information
With Report of Independent Auditors**

June 30, 2025 and 2024

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Report of Independent Auditors

To the Board of Directors of
Montgomery County Green Bank Corporation:

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Montgomery County Green Bank Corporation, a Maryland Corporation, which comprise the statements of financial position as of June 30, 2025 and 2024 and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the financial position of Montgomery County Green Bank Corporation as of June 30, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS") and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Montgomery County Green Bank Corporation and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Montgomery County Green Bank Corporation's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards* we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Montgomery County Green Bank Corporation's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Montgomery County Green Bank Corporation's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Other Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying schedule of expenditures of federal awards, as required by Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued a report dated January 5, 2026, on our consideration of Montgomery County Green Bank Corporation's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Montgomery County Green Bank Corporation's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Montgomery County Green Bank Corporation's internal control over financial reporting and compliance.

Novogradac & Company LLP

Malvern, Pennsylvania
January 5, 2026

MONTGOMERY COUNTY GREEN BANK CORPORATION
STATEMENTS OF FINANCIAL POSITION
JUNE 30, 2025 AND 2024

	<u>2025</u>	<u>2024</u>
ASSETS		
Cash and cash equivalents	\$ 25,315,974	\$ 19,836,297
Restricted cash - loss reserve	1,032,735	1,076,165
Restricted cash - revolving fund	6,285,374	6,285,374
Restricted cash - grant funds	67,267,709	-
Accounts receivable - trade	181,788	354,914
Accounts receivable - energy tax	2,604,581	2,638,374
Interest receivable	26,373	-
Program loans receivable, net	36,504,003	27,214,041
Prepaid expenses	47,905	65,747
Deposits	16,842	2,886
Furniture and equipment, net	106,588	-
Software costs	270,193	-
Right of use asset - operating	1,424,306	-
Total Assets	<u>\$ 141,084,371</u>	<u>\$ 57,473,798</u>
LIABILITIES AND NET ASSETS		
Liabilities		
Accounts payable and accrued expenses	\$ 556,018	\$ 472,528
Lease liability - operating	1,498,401	-
Deferred revenue	65,889,031	-
Funds held for program liability	105,000	105,000
Funds held on behalf of the County - revolving fund	6,285,374	6,285,374
Total Liabilities	<u>74,333,824</u>	<u>6,862,902</u>
Net Assets		
Net assets without donor restrictions	54,326,568	41,213,942
Net assets with donor restrictions	12,423,979	9,396,954
Total Net Assets	<u>66,750,547</u>	<u>50,610,896</u>
 Total Liabilities and Net Assets	 <u>\$ 141,084,371</u>	 <u>\$ 57,473,798</u>

See accompanying notes to financial statements

MONTGOMERY COUNTY GREEN BANK CORPORATION
STATEMENTS OF ACTIVITIES
FOR THE YEARS ENDED JUNE 30, 2025 AND 2024

	2025			2024		
	Without Donor Restrictions	With Donor Restrictions	Total	Without Donor Restrictions	With Donor Restrictions	Total
OPERATING REVENUE AND SUPPORT						
Grants and contributions	\$ 882,909	\$ 2,789,150	\$ 3,672,059	\$ 500,494	\$ 134,663	\$ 635,157
Program revenue	990,494	-	990,494	311,939	-	311,939
In-kind contributions	20,471	-	20,471	19,952	-	19,952
Investment income	1,174,759	977,315	2,152,074	1,619,633	-	1,619,633
Energy tax revenue	12,159,044	6,547,178	18,706,222	11,837,171	6,373,861	18,211,032
Net assets released from restrictions	7,286,618	(7,286,618)	-	4,476,146	(4,476,146)	-
Total operating revenue and support	22,514,295	3,027,025	25,541,320	18,765,335	2,032,378	20,797,713
OPERATING EXPENSES						
Program services:						
Clean energy investment	7,937,200	-	7,937,200	3,760,178	-	3,760,178
Supporting Services						
Management and general	1,376,215	-	1,376,215	824,855	-	824,855
Fundraising	88,254	-	88,254	60,324	-	60,324
Total operating expenses	9,401,669	-	9,401,669	4,645,357	-	4,645,357
CHANGE IN NET ASSETS	13,112,626	3,027,025	16,139,651	14,119,978	2,032,378	16,152,356
Net assets, beginning of year	41,213,942	9,396,954	50,610,896	27,093,964	7,364,576	34,458,540
Net assets, end of year	\$ 54,326,568	\$ 12,423,979	\$ 66,750,547	\$ 41,213,942	\$ 9,396,954	\$ 50,610,896

See accompanying notes to financial statements

MONTGOMERY COUNTY GREEN BANK CORPORATION
STATEMENTS OF FUNCTIONAL EXPENSES
FOR THE YEARS ENDED JUNE 30, 2025 AND 2024

2025

	<u>Program Services</u>	<u>Supporting Services</u>		
	Clean Energy Investment	Management and General	Fundraising	Total
Salaries, benefits and payroll tax	\$ 1,526,774	\$ 865,978	\$ 52,824	\$ 2,445,576
Professional services	551,172	312,623	19,069	882,864
Product development	4,931,713	-	-	4,931,713
Advertising and promotion	164,317	9,395	13,076	186,788
Rent	76,010	43,002	2,429	121,441
Office expenses	233,501	128,012	-	361,513
Insurance	26,792	15,158	856	42,806
Bad debt expense	400,198	-	-	400,198
Depreciation	8,299	-	-	8,299
In-kind expense	18,424	2,047	-	20,471
	<u>\$ 7,937,200</u>	<u>\$ 1,376,215</u>	<u>\$ 88,254</u>	<u>\$ 9,401,669</u>
Total operating expenses	<u>\$ 7,937,200</u>	<u>\$ 1,376,215</u>	<u>\$ 88,254</u>	<u>\$ 9,401,669</u>

2024

	<u>Program Services</u>	<u>Supporting Services</u>		
	Clean Energy Investment	Management and General	Fundraising	Total
Salaries, benefits and payroll tax	\$ 1,383,410	\$ 702,346	\$ 42,566	\$ 2,128,322
Professional services	176,780	56,569	2,357	235,706
Product development	1,080,549	-	-	1,080,549
Advertising and promotion	111,918	5,267	14,484	131,669
Rent	29,810	15,134	917	45,861
Office expenses	67,773	33,381	-	101,154
Insurance	20,635	10,163	-	30,798
Bad debt expense	832,094	-	-	832,094
Loss on loan forgiveness	39,252	-	-	39,252
In-kind expense	17,957	1,995	-	19,952
	<u>\$ 3,760,178</u>	<u>\$ 824,855</u>	<u>\$ 60,324</u>	<u>\$ 4,645,357</u>
Total operating expenses	<u>\$ 3,760,178</u>	<u>\$ 824,855</u>	<u>\$ 60,324</u>	<u>\$ 4,645,357</u>

See accompanying notes to financial statements

MONTGOMERY COUNTY GREEN BANK CORPORATION
STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED JUNE 30, 2025 AND 2024

	<u>2025</u>	<u>2024</u>
Cash flows from operating activities:		
Change in net assets	\$ 16,139,651	\$ 16,152,356
Adjustments to reconcile change in net assets to net cash provided by (used in) operating activities:		
Loss on loan forgiveness	-	39,252
Depreciation	8,299	-
Amortization of right of use asset - operating lease	54,265	-
Bad debt expense	400,198	832,094
Changes in operating assets and liabilities:		
Accounts receivable - trade	173,126	(187,057)
Accounts receivable - energy tax	33,793	(78,842)
Interest receivable	(26,373)	-
Program loans receivable, net	(9,690,160)	(21,114,675)
Prepaid expenses	17,842	(43,519)
Deposits	(13,956)	(1,000)
Accounts payable and accrued expenses	83,490	230,394
Lease liability - operating	19,830	-
Deferred revenue	65,889,031	-
Net cash provided by (used in) operating activities	<u>73,089,036</u>	<u>(4,170,997)</u>
Cash flows from investing activities:		
Purchases of fixed assets	(114,887)	-
Payment of software costs	(270,193)	-
Net cash used in investing activities	<u>(385,080)</u>	<u>-</u>
Net change in cash, cash equivalents and restricted cash	72,703,956	(4,170,997)
Cash, cash equivalents and restricted cash at beginning of year	<u>27,197,836</u>	<u>31,368,833</u>
Cash, cash equivalents and restricted cash at end of year	<u>\$ 99,901,792</u>	<u>\$ 27,197,836</u>
Cash and cash equivalents	\$ 25,315,974	\$ 19,836,297
Restricted cash - loss reserve	1,032,735	1,076,165
Restricted cash - revolving fund	6,285,374	6,285,374
Restricted cash - grant funds	67,267,709	-
Total cash, cash equivalents and restricted cash	<u>\$ 99,901,792</u>	<u>\$ 27,197,836</u>
SUPPLEMENTAL DISCLOSURE OF NONCASH INVESTING AND FINANCING ACTIVITIES:		
Increase in right of use asset - operating	<u>\$ 1,478,571</u>	<u>\$ -</u>
Increase in lease liability - operating	<u>\$ 1,478,571</u>	<u>\$ -</u>

See accompanying notes to financial statements

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

1. Organization

Montgomery County Green Bank Corporation (the “Organization”) was formed in 2015 as a nonprofit organization. The Organization was designated as Montgomery County, Maryland’s green bank in August 2016, pursuant to Montgomery County Code Chapter 18A Article 7. The Organization is a private nonprofit charitable organization under Internal Revenue Code 501(c)(3).

The Organization is a publicly chartered nonprofit dedicated to accelerating affordable energy efficiency and clean energy investment in Montgomery County, Maryland. The Organization partners with the private sector to build a more diverse, equitable, and inclusively prosperous, resilient, sustainable, and healthy community. The Organization’s work supports Montgomery County’s goal to reduce its greenhouse gas emissions.

The Organization was capitalized by Montgomery County government (“Montgomery County”) with funding from the Exelon-Pepco merger. The Organization will use this funding to mobilize and provide investments and facilitate reinvestment in energy-efficiency and clean energy. The Organization will combine its funds with lender partners to establish financing vehicles that help to improve the energy savings benefit to county residents, property owners, and businesses, to lower county emissions, to support jobs in the county, to create healthy living and working environments, to foster a more resilient economy and environment and to help Montgomery County achieve its environmental goals.

2. Summary of significant accounting policies

Basis of accounting

The Organization prepares its financial statements on the accrual basis of accounting consistent with accounting principles generally accepted in the United States of America.

Basis of presentation

The Organization follows the requirements of Financial Accounting Standards Board (FASB) Accounting Standards Codification (“ASC”) 958-205, “Not-for-Profit Entities.” As required by the Not-for-Profit Entities Topic of the FASB ASC, the Organization is required to report information regarding its financial position and activities according to two classes of net assets: net assets without donor restriction and net assets with donor restrictions.

Net assets without donor restrictions: Net assets that are not subject to donor-imposed restrictions and may be expended for any purpose in performing the primary objectives of the Organization. These net assets may be used at the discretion of the Organization’s management and the board of directors.

Net assets with donor restrictions: Net assets subject to stipulations imposed by donors and grantors. Some donor restrictions are temporary in nature, which will be met by actions of the Organization or by the passage of time. Other donor restrictions are perpetual in nature, whereby the donor has stipulated the funds be maintained in perpetuity.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

2. Summary of significant accounting policies (continued)

Basis of presentation (continued)

When a donor restriction expires as a result of a stipulated time restriction ending or purpose restriction being accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the accompanying statements of activities and change in net assets as net assets released from restrictions.

Measure of operations

The statements of activities report all changes in net assets, including changes in net assets from operating and non-operating activities. Operating activities consist of items attributable to the Organization's ongoing program services. Non-operating activities are limited to activities considered to be of a more unusual or nonrecurring nature.

Cash and cash equivalents

Cash and cash equivalents include money market funds and treasury bills available for operating purposes with an original maturity of three months or less.

Restricted cash – loss reserve

Restricted cash – loss reserve represents the total of all assets that are encumbered by legal agreements. This category includes funds that are held by the Organization for the purpose of reimbursing the lender for future loans which may default. As of June 30, 2025 and 2024, the restricted cash – loss reserve was sufficient to cover the Organizations liability under its agreements for the outstanding loans issued by its partner lenders.

Restricted cash – revolving fund

Restricted cash – revolving fund represents funds received under the contract between the Organization and Montgomery County. These funds are to be used only by Montgomery County and for Montgomery County purposes as Montgomery County would request. Montgomery County may, in its sole discretion, replenish the revolving fund. Any funds remaining in the revolving fund at the conclusion of the contract are to be returned to Montgomery County, and may not remain with the Organization.

The corresponding obligation is recorded as a liability as funds held on behalf of the county on the accompanying statements of financial position, as of June 30, 2025 and 2024.

Restricted cash - grant funds

Restricted cash - grant funds represent funds received from entering a subgrant agreement from the National Clean Investment Fund ("NCIF") with Coalition for Green Capital ("CGC"). The funds were then transferred to Capital Bank, N.A. ("Capital Bank") in accordance with a Deposit Account Control Agreement ("DACA"). The funds are controlled by Capital Bank and are only to be released to the Organization for the usage of funds in accordance with their intended purpose as noted in the DACA. Restricted cash also includes \$2,720,974 held at Climate First Bank, reserved for approved future loan disbursements under the NCIF program.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

2. Summary of significant accounting policies (continued)

Accounts receivable – energy tax

Accounts receivable also consists of energy tax revenue that is generated by Montgomery County of which 10% of the revenue is appropriated to the Organization, which is recognized as revenue in the period earned. Management is of the opinion that all accounts receivable – energy tax are fully collectible and therefore no allowance for doubtful accounts is provided.

Program loans receivable and allowance for credit losses

Loans receivable is stated at the unpaid principal balances less an allowance for credit losses. Interest income is recognized on a monthly basis as earned. Loan fees do not exceed the cost per loan and, therefore, are recognized as fee income upon loan closing.

The Organization records an allowance for credit losses based on losses expected to arise over the contractual term of the financial asset. Assets are written off when the Organization deems the loan receivable to be uncollectable. Write-offs are recognized as a deduction from the allowance for credit losses. Expected recoveries of amounts previously written off, which do not exceed the aggregate of previous write-offs, are included in determining the allowance account.

In developing estimates for expected credit losses, management considers historical loss information updated for current conditions and reasonable and supportable forecasts that affect expected collectability using a loss-based approach. Management considers factors such as the borrower's financial condition, the borrower's ability to make scheduled interest or principal payments based on the current and forecasted direction of the economic and business environment, the remaining payment terms of the loan, the remaining time to maturity, and the value of underlying collateral. Although management uses many factors to estimate credit losses, because of uncertainties associated with local economic conditions, collateral values, and future cash flows, it is reasonably possible that a material change could occur in the allowance for credit loan losses in the near term. However, the amount of the change that is reasonably possible cannot be estimated.

Loans that are 90 days or more past due, based on the contractual terms of the loan, are classified on nonaccrual status. Uncollectable interest previously accrued is charged off, or an allowance is established by a charge to interest income. Interest income on nonaccrual loans is recognized only to the extent cash payments are received and the principal balance is believed to be collectable. A loan previously classified on nonaccrual status will resume accruing interest based on the contractual terms of the loan when payments on the loan become current. There were no loans on nonaccrual status at June 30, 2025 and 2024 (See Note 5).

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

2. Summary of significant accounting policies (continued)

Contributions revenue

Contributions are recognized as revenue in the period that an unconditional promise to give is received. Contributions are recorded as net assets without donor restrictions or net assets with donor restrictions, depending on the existence and/or nature of any donor-imposed restrictions. Contributions that are restricted by the donor are reported as an increase in net assets without donor restrictions if the restriction expires in the reporting period in which the contribution is recognized. All other donor restricted contributions are reported as an increase in net assets with donor restrictions, depending on the nature of restriction. When a restriction expires (that is, when a stipulated time restriction ends or purpose restriction is accomplished), net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the statements of activities as net assets released from restrictions.

In-kind contributions

Contributed goods and services are recorded at their fair value at the date of receipt. Donated services are recognized as contributions if the services (a) create or enhance non-financial assets or (b) require specialized skills that would otherwise be purchased by the Organization. During the years ended June 30, 2025 and 2024, the Organization received donated services of \$20,471 and \$19,952, respectively.

Functional expenses

The costs of providing various programs and other activities have been summarized on a functional basis in the statements of activities. Accordingly, certain costs have been allocated among the programs and supporting services benefited. Expenses directly attributed to a specific functional area of the Organization are reported as direct expenses to the programmatic areas and those expenses that benefit more than one function are allocated on a basis of estimated time and effort or another reasonable basis. Management and general expenses include those expenses that are not directly identifiable with any specific program function but provide overall support and direction of the Organization.

The expenses that are allocated include the following:

<u>Expense</u>	<u>Method of Allocation</u>
Salaries, benefits, and payroll tax	Time and effort
Professional services	Time and effort
Product development	Time and effort
Advertising and promotion	Time and effort
Rent	Usage
Office expenses	Usage
Insurance	Usage
Bad debt expense	Usage
Depreciation	Usage
Loss on loan forgiveness	Usage
In-kind expense	Time and effort

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

2. Summary of significant accounting policies (continued)

Income taxes

The Organization is a not-for-profit Organization which is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code ("IRC"). The Organization is not taxed on income derived from its exempt functions. However, the Organization is subject to tax on unrelated business income, which is generated from the Organization's investment income and other activities not related to their stated exempt purposes.

The preparation of financial statements in accordance with accounting principles generally accepted in the United States of America requires the Organization to report information regarding its exposure to various tax positions taken by the Organization, including changes to the Organization's status as a not-for-profit entity. Management has determined whether any tax positions have met the recognition threshold and has measured the Organization's exposure to those tax positions. Management believes that the Organization has adequately addressed all relevant tax positions and that there are no unrecorded tax liabilities. Federal and state tax authorities generally have the right to examine and audit the previous three years of tax returns filed. Any interest or penalties assessed to the Organization are recorded in operating expenses. No interest or penalties from federal or state tax authorities were recorded in the accompanying financial statements.

Estimates

The preparation of financial statements in accordance with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results could differ from those estimates.

Concentration of credit risk

The Organization's assets that are exposed to credit risk consist primarily of cash and cash equivalents, accounts receivable and program loans receivable. Cash and cash equivalents are maintained at various financial institutions and at times these balances may exceed the federally insured limit. The Organization has not experienced any losses with respect to its bank balances in excess of government provided insurance. The Organization's accounts and program loans receivable balances consist primarily of amounts due from the Montgomery County and companies. Historically, the Organization has not experienced significant losses related to the accounts and program loans receivable balances and, therefore, believes that the credit risk related to them is minimal.

Concentration of grant and contribution revenue

Approximately 75% of grant and contribution revenue was derived from the Environmental Protection Agency ("EPA") through the NCIF subgrant agreement between CGC and the Organization for the year ended June 30, 2025, and approximately 84% of grant and contribution revenue was derived from the Montgomery County contract associated with the funding from the Exelon-Pepco merger for the year ended June 30, 2024.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

2. Summary of significant accounting policies (continued)

Prepaid expenses

Prepaid expenses represent amounts paid as of the reporting date that will benefit future operations.

Furniture and equipment, net

Purchases of property, equipment or improvements costing more than \$5,000 are recorded at cost. Major improvements are charged to the fixed asset account, while maintenance and repairs, which do not extend the life of the respective assets, are expensed. When fixed assets are retired or otherwise disposed, the cost of the fixed asset and the related accumulated depreciation are removed from the accounts and any resulting gains or losses are reflected in income.

Depreciation is computed on the straight-line method over the estimated useful lives of the assets. Depreciation expense during the years ended June 30, 2025 and 2024 was \$8,299 and \$0, respectively. The useful lives of the assets are estimated to be 5-7 years.

Furniture and equipment consist of the following as of June 30:

	<u>2025</u>	<u>2024</u>
Furniture and equipment	\$ 114,887	\$ -
Less: accumulated depreciation	<u>(8,299)</u>	<u>(-)</u>
Furniture and equipment, net	<u>\$ 106,588</u>	<u>\$ -</u>

Software costs

Software costs incurred related to the development of a program are recorded at cost. Costs incurred after implementation of a program are expensed. Amortization is computed on the straight-line method over the estimated useful lives of the asset.

During the year ended June 30, 2025, the Organization incurred expenditures related to the development and customization of new software intended to replace the existing loan management system. As of June 30, 2025, total capitalized costs associated with this software amounted to \$270,193. Implementation of the new software had not commenced and accordingly, no amortization expense has been recognized for the year ended June 30, 2025.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

2. Summary of significant accounting policies (continued)

Leases

The Organization determines if an arrangement is a lease at inception. An arrangement is a lease if the arrangement conveys a right to direct the use of and to obtain substantially all of the economic benefits from the use of an asset for a period of time in exchange for consideration.

Operating lease right-of use assets and liabilities are recognized at the lease commencement date based on the present value of lease payments over the lease term. The Organization uses a risk-free rate at the commencement date in determining the present value of lease payments.

The operating lease right-of-use asset also includes any lease payments made and excludes lease incentives. The lease terms may include options to extend or terminate the lease when it is reasonably certain that the Organization will exercise that option. The lease agreement does not contain any material residual value guarantees or material restrictive covenants. Lease expense for lease payments is recognized on a straight-line basis over the lease term.

Deferred revenue

Deferred revenue represents amounts received in advance for program services and other activities for which the Organization has not yet satisfied its performance obligations. These amounts are recorded as liabilities until the related services are provided or conditions are met. Revenue is recognized as the funds are expended for their intended purpose, as noted within the underlying grant agreement.

During the year ended June 30, 2025, the Organization entered into a subgrant agreement with CGC from the EPA under the NCIF as part of the Greenhouse Gas Reduction Fund. The Organization received the full award of \$68,655,000 during the year. Of this amount, \$2,765,969 was recognized as revenue and is included in Grants and Contributions in the accompanying statement of activities. Subsequently, the GGRF program became subject to certain administrative disputes and judicial review, halting the Organization's ability to satisfy its performance obligations under the subgrant agreement. The remaining \$65,889,031 of the award is recorded as deferred revenue as of June 30, 2025.

Subsequent events

Subsequent events have been evaluated through January 5, 2026, which is the date the financial statements were available to be issued, and there are no subsequent events requiring disclosure.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

3. Legal contingencies

In the course of normal business operations, the Organization is faced with routine legal matters. In the opinion of management, all matters are adequately covered by insurance or the costs have been accrued.

4. Liquidity and availability of financial assets

The following represents the Organization's financial assets as of June 30:

	2025	2024
Financial assets at year end:		
Cash and cash equivalents	\$ 25,315,974	\$ 19,836,297
Restricted cash – loss reserve	1,032,735	1,076,165
Restricted cash – revolving fund	6,285,374	6,285,374
Restricted cash – grant funds	67,267,709	-
Accounts receivable - trade	181,788	354,914
Accounts receivable - energy tax	2,604,581	2,638,374
Interest receivable	26,373	-
Program loan receivable, net	36,504,003	27,214,041
Total financial assets	139,218,537	57,405,165
Less amounts not available for general expenditure within one year due to:		
Restricted cash – loss reserve	1,032,735	1,076,165
Restricted cash – revolving fund	6,285,374	6,285,374
Restricted cash – grant funds	67,267,709	-
Donor-imposed restrictions	12,423,979	9,396,954
Program loan receivable, net	35,377,119	25,850,512
Financial assets available to meet cash needs for general expenditures within one year	\$ 14,065,652	\$ 14,796,160

As part of the Organization's liquidity management, the Organization has a policy to structure its financial assets to be available and liquid as its obligations become due. The Organization had no debt on the statements of financial position as of June 30, 2025 and 2024, and typically pays its obligations using cash. As of June 30, 2025 and 2024, the Organization has enough financial assets to cover at least one year of operating expenses.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

5. Program loans receivable and allowance for credit losses

Program loans receivable

Program loans receivable relate to the loan portfolio offered by the Organization. The various loans outstanding bear interest at rates ranging from 0% to 6.5% and have maturities ranging from 1 to 35 years. Loans receivable at June 30, 2025 and 2024 consisted of the following:

	2025	2024
Portfolio segmentation:		
Bridge loans	\$ 222,769	\$ 627,605
Developer debt	10,905,730	2,902,130
Term debt-origination	-	10,597,059
Term debt-repayment-low risk	10,485,178	3,534,916
Term debt-repayment-moderate risk	16,361,864	10,663,671
Total program loans receivable	37,975,541	28,325,381
Less - allowance for credit losses	(1,471,538)	(1,111,340)
Program loans receivable, net	<u>\$ 36,504,003</u>	<u>\$ 27,214,041</u>

As of June 30, 2025 and 2024, interest receivable from the program loans receivable amounted to \$26,373 and \$0, respectively.

The following table presents the activity in the allowance for credit losses by portfolio segmentation for the program loans for the year ended June 30, 2025:

	Allowance for Credit Losses			
	Beginning Balance	Cancellation of Debt	Credit Loss Expense, net	Ending Balance
Bridge loans	\$ 142,419	\$ (40,000)	\$ (29,841)	\$ 72,578
Developer debt	136,423	-	391,787	528,210
Term debt-origination	370,897	-	(358,794)	12,103
Term debt-repayment-low risk	88,373	-	196,889	285,262
Term debt-repayment-moderate risk	373,228	-	200,157	573,385
Total, net	<u>\$ 1,111,340</u>	<u>\$ (40,000)</u>	<u>\$ 400,198</u>	<u>\$1,471,538</u>

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

5. Program loans receivable and allowance for credit losses (continued)

Program loans receivable (continued)

The following table presents the activity in the allowance for credit losses by portfolio segmentation for the program loans for the year ended June 30, 2024:

	Allowance for Credit Losses				
	Beginning Balance, Prior to Adoption of ASC 326	Cancellation of Debt	Loss on Loan Forgiveness	Credit Loss Expense	Ending Balance, After Adoption of ASC 326
Bridge loans	\$ 56,096	\$ (12,718)	\$ 5,659	\$ 93,382	\$ 142,419
Developer debt	158,462	(134,375)	33,593	78,743	136,423
Term debt-origination	-	-	-	370,897	370,897
Term debt-repayment-low risk	32,774	-	-	55,599	88,373
Term debt-repayment-moderate risk	139,755	-	-	233,473	373,228
Total, net	<u>\$ 387,087</u>	<u>\$ (147,093)</u>	<u>\$ 39,252</u>	<u>\$832,094</u>	<u>\$ 1,111,340</u>

6. Operating leases

On June 20, 2017, the Organization entered into an agreement to lease office space located at 155 Gibbs Street, Rockville, Maryland (“Gibbs Street Lease”). Since the original execution of the Gibbs Street Lease the Organization has exercised multiple renewal options. On July 1, 2022, the Organization entered into an extension of the lease through June 30, 2023, with monthly payments of \$1,455. On July 1, 2024, the Gibbs Street Lease was extended to June 30, 2025, with monthly payments of \$4,247. The Organization terminated the Gibbs Street Lease on August 12, 2024. Rent expense related to the lease for the years ended June 30, 2025 and 2024 was \$33,389 and \$45,861, respectively.

On August 12, 2024, the Organization entered into a new agreement to lease office space at 21 Church Street, Rockville, Maryland. The leasing agreement has been classified as an operating lease. The term of the lease is 132 months. Base annual rent is \$167,475 and increases by 2.50% on each anniversary of the rent commencement date. Base annual rent of \$167,475 for the initial 12 months of the operating lease term was fully abated.

The present value of the lease payments is \$1,478,571, using a discount rate of 4.57%. As of June 30, 2025 and 2024, the right of use asset amounted to \$1,424,306 and \$0, respectively. As of June 30, 2025 and 2024, the operating leasing liability amounted to \$1,498,401 and \$0, respectively.

As of June 30, 2025 the operating lease liability consisted of the following:

Total undiscounted cash flows	\$ 1,923,187
Less: Imputed interest	(424,786)
Present value of lease obligation	<u>\$ 1,498,401</u>

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

6. Operating leases (continued)

Total rent expense under the operating lease was \$88,052 for the year ended June 30, 2025.

Aggregate future minimum lease payments are as follows as of June 30:

2026	\$	171,686
2027		175,960
2028		180,363
2029		184,892
2030		189,486
Thereafter		1,020,800
Total	\$	<u>1,923,187</u>

7. In-kind contributions – nonfinancial assets

In-kind contributions consist of the following for the years ended June 30, 2025 and 2024:

	2025 Revenue recognized	2024 Revenue recognized	Utilization in programs/a ctivities	Donor restrictions	Valuation techniques and inputs
Legal services	\$ 20,471	\$ 19,952	Legal assistance	No associated donor restrictions	Based on Occupational Employment and Wage Statistics from Bureau of Labor Statistics.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

8. Net assets with donor restrictions

Net assets with donor restrictions consist of the following at June 30, 2025:

	Beginning balance	Additions	Released from restrictions	Ending balance
Montgomery County Contract	\$ 4,987,852	\$ -	\$ -	\$ 4,987,852
Grant for EPA-NCIF	-	2,765,969	(2,765,969)	-
Grant for homeowner energy efficiency program	165,358	23,181	(87,824)	100,715
Grant for EV chargers	95,401	-	(50,581)	44,820
Investment income restricted	-	977,315	-	977,315
Energy tax credit	4,148,343	6,547,178	(4,382,244)	6,313,277
Total	<u>\$ 9,396,954</u>	<u>\$10,313,643</u>	<u>\$ (7,286,618)</u>	<u>\$12,423,979</u>

Net assets with donor restrictions consist of the following at June 30, 2024:

	Beginning balance	Additions	Released from restrictions	Ending balance
Montgomery County Contract	\$ 4,987,852	\$ -	\$ -	\$ 4,987,852
Grant for solar program	124,919	-	(124,919)	-
Grant for homeowner energy efficiency program	84,559	134,663	(53,864)	165,358
Grant for EV chargers	183,748	-	(88,347)	95,401
Energy tax credit	1,983,498	6,373,861	(4,209,016)	4,148,343
Total	<u>\$ 7,364,576</u>	<u>\$6,508,524</u>	<u>\$ (4,476,146)</u>	<u>\$ 9,396,954</u>

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

8. Net assets with donor restrictions (continued)

Montgomery County Contract

The Montgomery County Contract funds, which are derived from funding from the Exelon-Pepco merger, are available to the Organization to support a comprehensive package of programs that leverage investments into clean energy and energy-efficient technologies. The Organization can use up to a maximum amount of funds of \$22,970,374. The Organization may use the funds in a variety of methods, including credit enhancements, loan loss reserves, guarantees, loans, and other methods that leverage private capital into clean energy and energy-efficient technologies. The Organization may serve multiple sectors, including commercial, single-family and multifamily residential, nonprofits and public buildings. A portion of these funds are donor-restricted as they are designated to target financing vehicles for the benefit of limited- and moderate-income households, nonprofits, and multifamily and common ownership communities.

Grant for solar program

These funds are targeted to support activities related to various solar projects in the county with an emphasis on low- and moderate-income households.

Grant for EPA – NCIF

These funds are targeted to reducing emissions of greenhouse gases and other air pollutants, delivering benefits to American communities, particularly low-income and disadvantaged communities, and mobilizing financing and private capital.

Grant for homeowner energy efficiency program

These funds are part of a pilot Clean Energy Advantage program (the “CEA Program”) between the Organization, Maryland Clean Energy Center, and six Maryland utilities and funded under the EmPOWER program. The pilot CEA Program was implemented to offer residential customers in Maryland access to home improvement financing offered by third-party lenders that support qualified energy efficient improvements made by homeowners.

Grant for EV chargers

These funds are targeted to support equitable access to electric vehicle chargers (and thus electric vehicles) by occupants of affordable rental properties and low- and moderate-income households.

Investment income restricted

These funds relate to income generated from the grant for EPA-NCIF. The funds are to be utilized to reinvest back into the program to carry out the purpose of the program.

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2025 AND 2024

8. Net assets with donor restrictions (continued)

Energy tax credit

Montgomery County passed legislation in February 2022 that annually dedicates 10% of the county's Fuel Energy Tax to the Organization. Montgomery County approved over \$18 million in funding to the Organization in its 2023 budget related to this newly enacted legislation. This funding is received by the Organization over the course of the year and is based on the actual tax revenue received by Montgomery County. 20% of the funds must be used to support the Organization's activities in Equity Emphasis Areas in Montgomery County as defined by the Metropolitan Washington Council of Governments, and 15% of the funds must be used to reduce the cost of energy projects undertaken by property owners by a loan subsidy, interest rate buydown, technical assistance, pre-development, blended capital, or other similar tools.

MONTGOMERY COUNTY GREEN BANK CORPORATION
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2025

<u>Federal Grantor/Program or Cluster Title</u>	<u>Assistance Listing Number</u>	<u>Amount Provided to Subrecipients</u>	<u>Federal Expenditures</u>
Environmental Protection Agency			
Pass Through			
Coalition for Green Capital			
Greenhouse Gas Reduction Fund: National Clean			
Investment Fund	66.957	\$ 171,361	\$ 2,765,969

See accompanying notes to schedule of expenditures of federal awards

MONTGOMERY COUNTY GREEN BANK CORPORATION
NOTES TO SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2025

1. Basis of Presentation

The accompanying Schedule of Expenditures of Federal Awards (the “Schedule”) includes the expenditures of Montgomery County Green Bank Corporation (a Maryland non-profit public benefit corporation) under programs of the federal government for the year ended June 30, 2025. The information in the Schedule is presented in accordance with the requirements of Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards. Therefore, some amounts presented in the Schedule may differ from amounts presented in or used in the preparation of the basic financial statements.

For purposes of the Schedule, federal awards include all subawards to the Organization by nonfederal organizations pursuant to federal grants, contracts and similar agreements.

2. Summary of Significant Accounting Policies

Expenditures reported in the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowed. Assistance Listing Numbers (“ALN”) are provided when available.

The Organization elected to use the 15% de minimis indirect cost rate.

3. Pass-through Awards to Subrecipients

See Schedule for amount of pass-through awards to subrecipients.

INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON
AN AUDIT OF FINANCIAL STATEMENTS PERFORMED
IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Board of Directors of
Montgomery County Green Bank Corporation

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of Montgomery County Green Bank Corporation, which comprise the statement of financial position as of June 30, 2025, and the related statements of activities and changes in net assets, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements, and have issued our report thereon dated January 5, 2026.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Montgomery County Green Bank Corporation's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Montgomery County Green Bank Corporation's internal control. Accordingly, we do not express an opinion on the effectiveness of the organization's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Montgomery County Green Bank Corporation's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the organization's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the organization's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Novogradac & Company LLP

Malvern, Pennsylvania
January 5, 2026

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE
FOR THE MAJOR PROGRAM AND ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE

To the Board of Directors of
Montgomery County Green Bank Corporation

Report on Compliance for The Major Federal Program

Opinion on the Major Federal Program

We have audited Montgomery County Green Bank Corporation's compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on Montgomery County Green Bank Corporation's major federal programs for the year ended June 30, 2025. Montgomery County Green Bank Corporation's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, Montgomery County Green Bank Corporation complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on the Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Montgomery County Green Bank Corporation and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Montgomery County Green Bank Corporation's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to Montgomery County Green Bank Corporation's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Montgomery County Green Bank Corporation's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Montgomery County Green Bank Corporation's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Montgomery County Green Bank Corporation's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Montgomery County Green Bank Corporation's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Montgomery County Green Bank Corporation's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Novogradec & Company LLP

Malvern, Pennsylvania
January 5, 2026

MONTGOMERY COUNTY GREEN BANK CORPORATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025

Section I - Summary of Auditor's Results

Financial Statements

Type of auditors' report issued:		Unmodified	
Internal control over financial reporting:			
Material weakness(es) identified?	_____ Yes	<u> x </u>	No
Significant deficiency(ies) identified not considered to be material weaknesses?	_____ Yes	<u> x </u>	None reported
Noncompliance material to financial statements noted?	_____ Yes	<u> x </u>	No

Federal Awards

Internal Control over major programs:			
Material weakness(es) identified?	_____ Yes	<u> x </u>	No
Significant deficiency(ies) identified not considered to be material weaknesses?	_____ Yes	<u> x </u>	None reported
Type of auditor's report issued on compliance for major programs:		Unmodified	
Audit findings required to be reported in accordance with 2 CFR section 200.516(a)?	_____ Yes	<u> x </u>	No

Identification of major programs:

<u>AL Number(s)</u>	<u>Name of Federal Program or Cluster</u>
66.957	Greenhouse Gas Reduction Fund: National Clean Investment Fund

Dollar threshold used to distinguish between Type A and Type B programs:	<u> \$750,000 </u>
Auditee qualified as low-risk auditee?	_____ Yes <u> x </u> No

Section II – Financial Statement Findings

There were no findings noted.

Section III – Federal Award Findings and Questioned Costs

There were no findings noted.

MONTGOMERY COUNTY GREEN BANK CORPORATION
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025

Section II - Financial Statement Findings

There were no findings noted.

Section III - Federal Award Findings and Questioned Costs

There were no findings noted.